

share price performance. Given that each time bucket is ten years, *we have eight fully completed Coffee Can Portfolios*: FY1991-2000 (CCP 2000), FY92-01 (CCP 2001), FY93-02 (CCP 2002), FY94-03 (CCP 2003), FY95-04 (CCP 2004), FY96-05 (CCP 2005), FY97-06 (CCP 2006) and FY98-07 (CCP 2007).

However, the Coffee Can Portfolio of companies that was constructed on the basis of financial data from FY1999 to FY2008 will complete ten years of price performance only on 30 June 2018. Similarly, Coffee Can Portfolio 2009, which uses financial data from FY2000 to FY2009, will end its ten-year stock price performance on 30 June 2019 and so on and so forth. Thus, we have nine Coffee Can Portfolios that are incomplete in the sense that they have not yet run their full duration of ten years. For these uncompleted Coffee Can Portfolios, we have used a cut-off date of 30 June 2017 to measure price performance. We have also shown the tenth incomplete Coffee Can Portfolio (CCP 2017), which commenced on 1 July 2017 and is yet to see a meaningful period of performance.

In order to measure the performance of any Coffee Can Portfolio, we have used ‘total shareholder return’ rather than ‘share price return’ of the constituent stocks. Total shareholder return assumes reinvestment of dividends received from each stock back into the same company’s shares on the date of receipt of this dividend. Similarly, the benchmark return—the BSE Sensex—used to compare the outperformance of each of these portfolios is also based on the total shareholder return of the BSE Sensex rather than just the index price return.

The results can be summarized in one sentence: each of the seventeen CCPs (eight with complete price performance back-testing and nine with partially complete back-testing) have outperformed the benchmark large-cap index in India, the Sensex. In fact, as can be seen in [Exhibit 87](#), the outperformance of the complete CCPs to the Sensex is always in excess of 5 percentage points per annum. This outperformance relative to the benchmark is called ‘alpha’.

To assess the robustness of these findings, we also stress-tested the results for a subset of the CCP, i.e. its large-cap version. The large-cap version